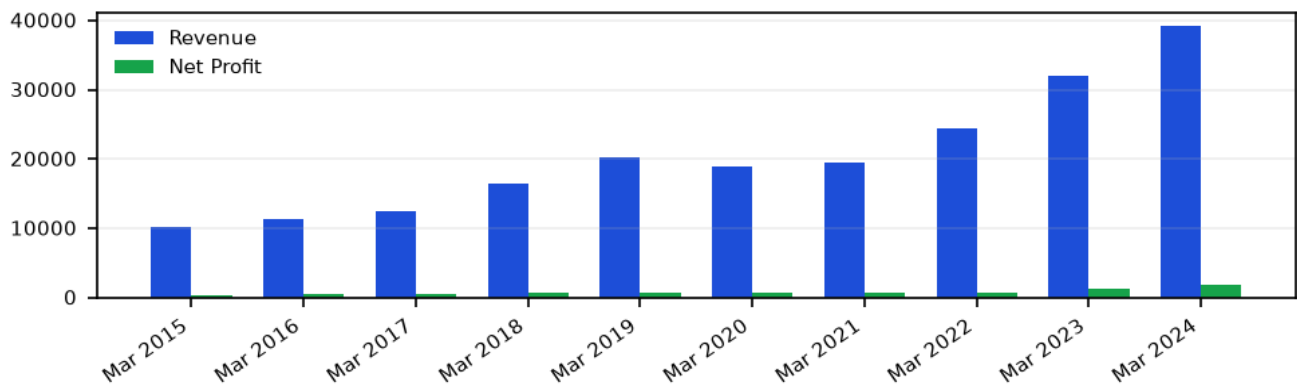


TVS Motor Company Ltd (TVSMOTOR)

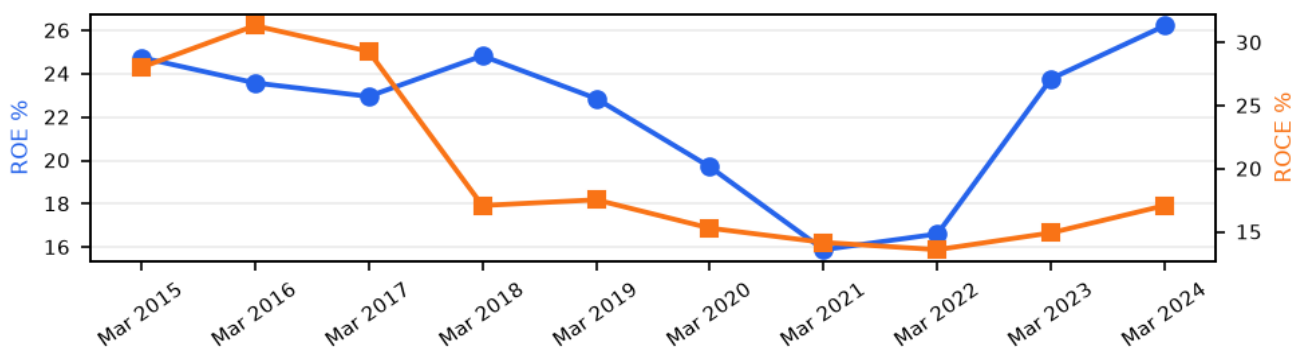
Consumer
Discretionary

Revenue	39,145 Cr	Net Profit	1,779 Cr	ROE	26.2%
ROCE	17.1%	FCF	-2,254 Cr	Capital Pattern	Growth Funded by Debt

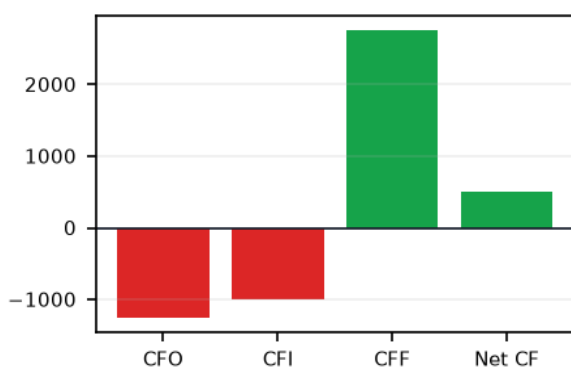
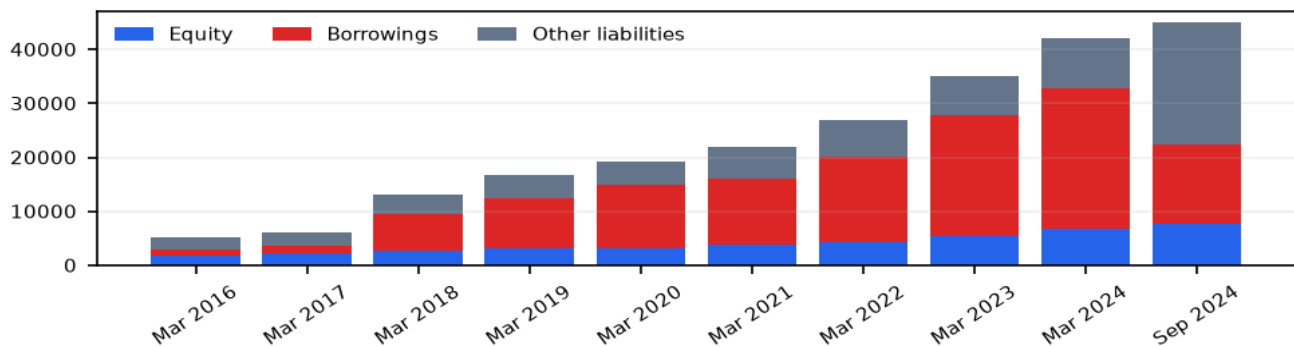
10-year Revenue and Net Profit



ROE and ROCE Trend



Balance Sheet Composition



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality

Capital Allocation

Growth Funded by Debt